KMT leader Chiang Kai-shek joined the ranks of the victorious Allies, with China being accorded a permanent seat in the Security Council of the newly established United Nations. The end of the Pacific War only intensified the ongoing civil war between the KMT troops and the Chinese communist armies led by Mao Zedong. There was a desperate rush by both sides to secure territories being vacated by the defeated Japanese troops and capture the very large quantities of abandoned armaments, vehicles and other supplies. The civil war dragged on for another four years when, finally, the Communist Red Army swept across the country, defeating the demoralized and by-now exhausted KMT troops. Chiang Kai-shek and the KMT leadership withdrew to the island of Formosa, now named Taiwan, vowing to retrieve the mainland in a future war. The victorious troops entered the capital Beijing in October 1949 and Mao Zedong proclaimed the PRC from the ramparts of the historic Tiananmen [Gate of Heavenly Peace] Square. The Chinese people, he said, ‘had stood up’ after a century of humiliation and foreign aggression.

The establishment of the PRC brought relative peace and stability to a country wracked by decades of war and internal turmoil, but it also inaugurated an extended phase of ideological twists and turns and the pursuit of grand ambitions through revolutionary fervour unleashed by a charismatic but deeply flawed leader, bringing the country to the brink of pervasive chaos and unmitigated disaster. It is only with the death of Mao in September 1976 that a group of veteran Party leaders, led by Deng Xiaoping, were able to help the country step back from the brink and restore a degree of normalcy and political stability. In 1978, the country embarked on thoroughgoing political and economic reform, which despite some setbacks such as the violent suppression of the Tiananmen students’ protest movement in June 1989, delivered four decades of rapid economic growth, unprecedented in world history. China is today the world’s second largest economy, with a per capita income of over US$10,000. In 1990, the per capita income of India and China was almost level, at around US$160. India has registered accelerated growth but has been far outstripped by China. Its per capita income is at a modest US$2,000, and growing only